

since Nicole and Jimmy's ARM has an annual cap of two percentage points, the lender will increase their rate to just 7% (their current 5% teaser rate plus the two percentage point cap). It's also smart to look for an ARM with a lifetime cap of five or six percentage points. That way you'll know exactly how bad it can get.

- **If you find a lender offering a good deal, consider getting a “preapproved” mortgage.** Although “prequalify” and “preapproved” sound similar, their meanings are very different. While prequalification is a quick exchange with no guarantee, **preapproval** is serious. It's a process by which the lender does a thorough analysis of your financial situation and commits to offering you a mortgage before you find a home you want to buy. You may be able to fill out the preapproval application online, but you'll still have to submit all the necessary paperwork in person or by mail (including verification of employment, bank statements, and tax paperwork). The lender will also look at your credit report and credit score. If everything checks out, the lender will give you a letter of commitment that says you're entitled to a loan. For a list of the info you need to have handy when you apply for preapproval, see Figure 7–2.

Lenders sometimes charge as much as \$100 for this service, but if they do you should try to dispute it. Once you've done your homework and you're convinced a lender is offering a good mortgage deal, get preapproved. A preapproved loan can even be used as a bargaining chip with a homeowner who is anxious to sell. The seller may be willing to knock the price down a bit when he or she discovers that you have a mortgage commitment, because that means the deal can take place immediately.

- **Consider enlisting the help of a mortgage broker.** Mortgage brokers are people who shop for a mortgage for